

**TREPP CMBS SPECIAL
SERVICING REPORT**

Overall CMBS Special
Servicing Rate Climbed
in August, Led by Several
Large Maturity Defaults

The Trepp commercial mortgage-backed securities (CMBS) special servicing rate climbed 33 basis points in August to 11.42%, reversing July's decline.

The overall rate is the highest since February 2013. A single \$1.10 billion Hollywood studio-and-office loan pushed mixed-use up 154 basis points to 13.47%.

Large central business district loans contributed to office’s 32 basis-point increase to 16.90%, while large mall and shopping center transfers contributed to retail rising 32 basis points to 13.60%, and lodging added 11 basis points to 8.74%. Only industrial and multifamily improved, falling seven basis points to 1.27% and two basis points to 8.37%, respectively.

Transfers to special servicing totaled \$3.16 billion across 32 whole loans, nearly double July's. Transfers were concentrated in office. Several of the largest transfers ran out extension options, which Trepp flagged in the [August hard maturities report](#). Loans that cured, were modified and returned, or paid off were far smaller in aggregate, at roughly \$500.7 million across 14 whole loans.

TABLE 1: SPECIAL SERVICING RATE BY PROPERTY TYPE (ALL VINTAGES)

PROP TYPE	Aug-26	Jul-26	Jun-26	3 MO.	6 MO.	12 MO.
Overall	11.42%	11.09%	11.20%	10.86%	10.73%	10.29%
Industrial	1.27%	1.34%	1.37%	1.28%	0.85%	0.61%
Lodging	8.74%	8.63%	8.89%	8.45%	10.01%	9.10%
Multifamily	8.37%	8.39%	8.23%	8.51%	8.30%	8.61%
Office	16.90%	16.58%	17.11%	16.75%	16.29%	16.90%
Mixed-Use	13.47%	11.93%	11.90%	11.62%	12.49%	10.64%
Retail	13.60%	13.28%	12.95%	13.00%	13.09%	11.49%

Source: Trepp

NEW TRANSFERS

The largest loan to transfer to special servicing in August was the \$1.10 billion [Los Angeles Office/Studio Portfolio](#). Trepp identified it in its August hard maturities report as the largest hard maturity of the month.

The floating-rate loan is secured by a Hollywood studio-and-office portfolio and makes up the entirety of the single-asset, single-borrower (SASB) [BXHPP 2021-FILM](#) deal, split into a \$770.0 million [component](#) and a \$330.0 million [freely prepayable component](#).

It transferred for an imminent balloon and maturity default ahead of its August 9 maturity, having exhausted all extension options. The loan reached maturity without a payment default and carries a performing matured balloon status.

For the most recent reporting period, it reported a debt service coverage ratio (DSCR) on net cash flow

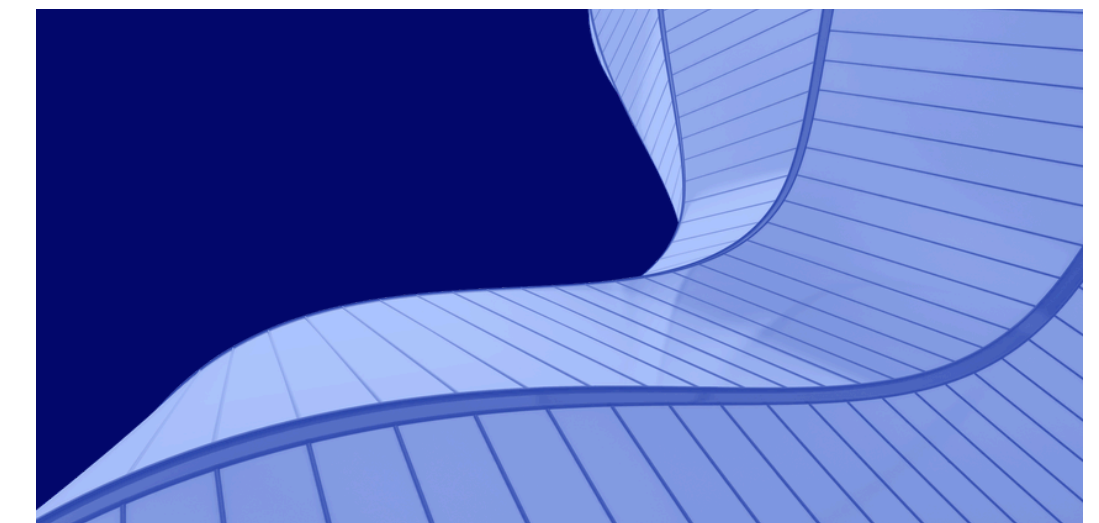
(NCF) of 1.45x. The borrower and special servicer have agreed on a framework for a longer-term extension and executed a 30-day extension for documentation. Because Trepp classifies the studio-and-office collateral as mixed-use, this one loan accounts for essentially the entire 154-basis-point jump in the mixed-use rate.

The second largest loan, the \$377.6 million [Project James](#), transferred due to an imminent balloon and maturity default. The single-asset loan is secured by eight office buildings in the greater Washington, DC area and makes up the entirety of the [BSREP 2021-DC](#) deal, structured as a \$354.5 million [component](#) and a \$23.1 million [freely prepayable piece](#).

Unlike the studio portfolio, it did not remain current: it carries a non-performing, matured balloon status after failing to pay off at its August maturity, and it reported a DSCR (NCF) of 1.30x for the most recent reporting period. The August hard maturities report had singled the loan out for eroding occupancy and

a borrower that had given no indication it could repay or refinance at maturity, and the maturity default followed.

Beyond the two flagged loans, large maturing loans dominated August's transfer activity. They included the New York office loans [111 Livingston Street](#) and [60 Madison Avenue](#), the lodging loan [Hyatt Regency New Orleans](#), and retail loans such as the [Fresno Fashion Fair Mall](#) and [Harlem USA](#). Most carried imminent balloon or maturity default as the transfer reason rather than payment distress. Several were still current at transfer emphasizing the maturity and refinancing pressure this month.



LARGEST LOANS EXITING SPECIAL SERVICING

Loans leaving special servicing in August, whether through returns to the master servicer or payoffs, totaled approximately \$500.7 million across 14 loans. The largest exits were retail and office loans that reached maturity and were modified or extended rather than resolved.

The largest exit was \$117.3 million of the [Penn Square Mall](#) loan. Two conduit pieces in [MSBAM 2016-C28](#) and [MSBAM 2016-C29](#) returned to the master servicer as corrected mortgage loans following a March 2026 modification, while a companion piece in the single-asset [MSC 2016-PSQ](#) deal remains in special servicing pending its own return.

The loan had transferred in November 2025 when the borrower could not secure refinancing ahead of a January 2026 maturity. The loan defaulted at that maturity. The borrower contributed \$30.0 million of

fresh equity, most of it applied to principal, and the maturity was extended to January 2028 with a full excess-cash-flow sweep. The loan is now current.

The second-largest exit was an \$88.0 million portion of the \$182.0 million [3 Park Avenue](#) office loan, which returned to the master servicer.

All pieces remain current, and the two remaining pieces will likely return next month. Beyond these two, exits were spread across office, multifamily, and lodging loans, with no other single loan exceeding \$60.0 million.

August saw a wave of large loans hit hard maturities and move into special servicing, pushing the overall rate to its highest level since February 2013.

The upcoming hard maturity schedule is weighted toward large office and mixed-use loans. Those loans' ability to refinance will determine whether the special servicing rate keeps climbing or the pace of maturity-driven transfers eases.

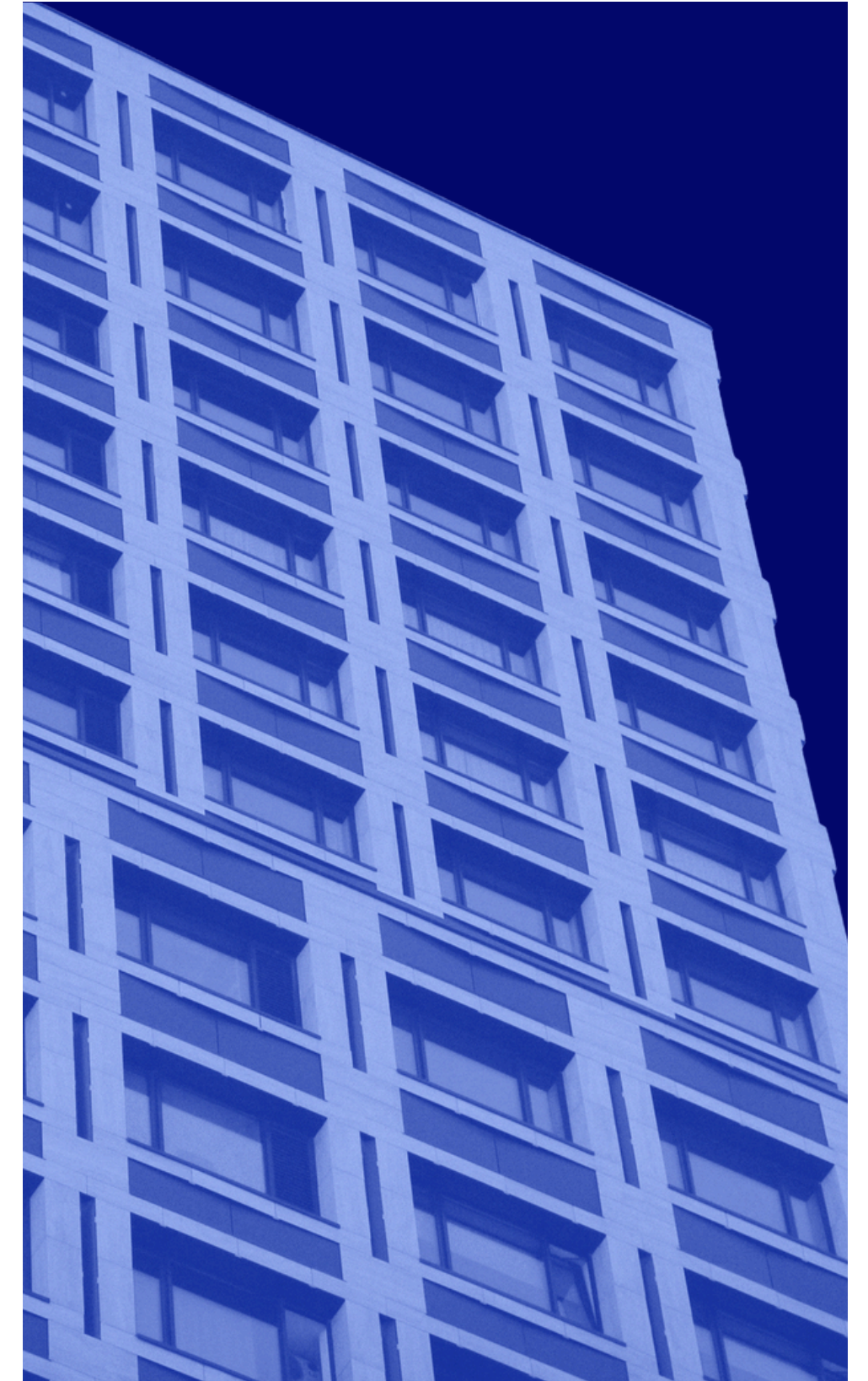
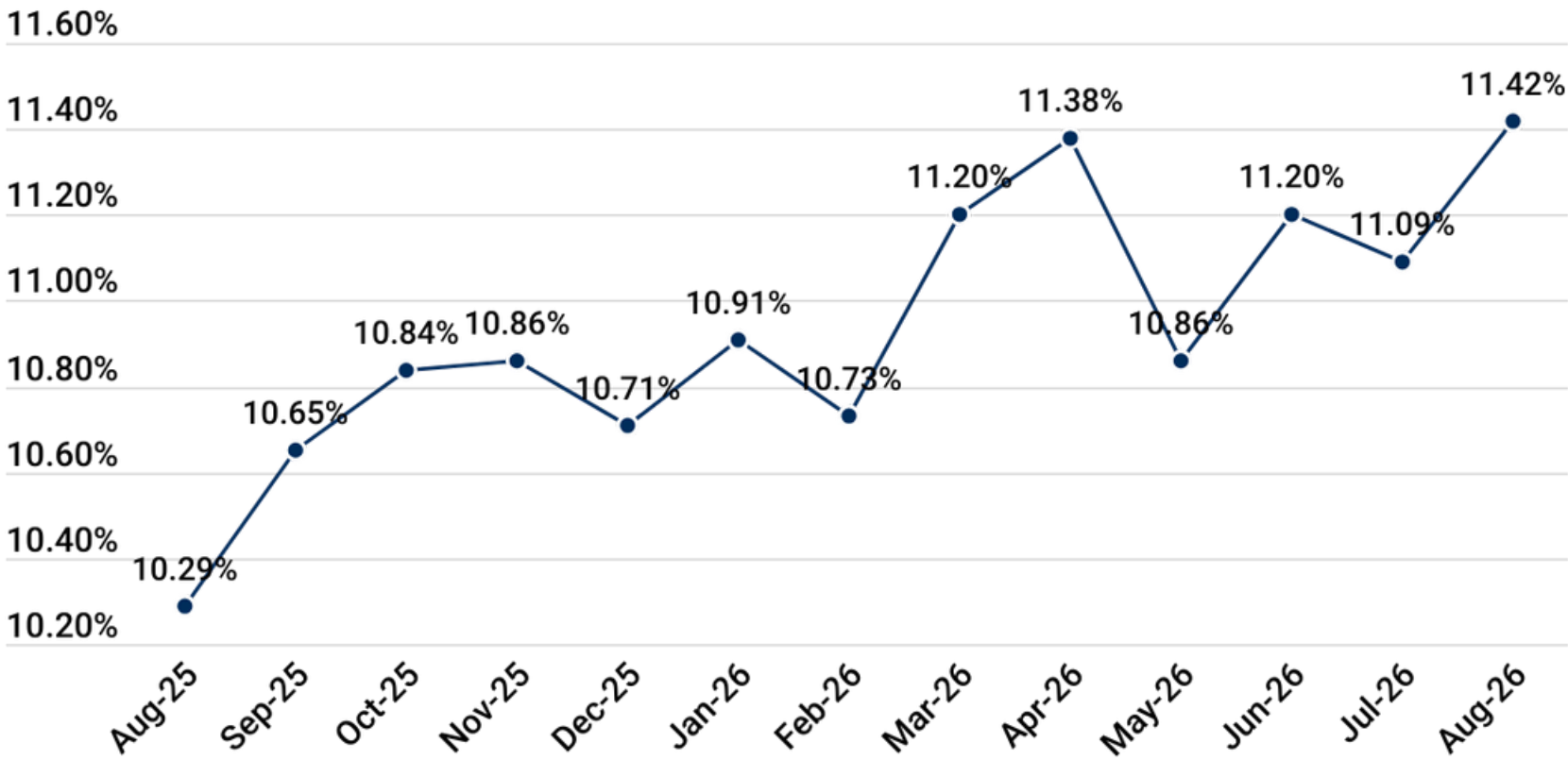
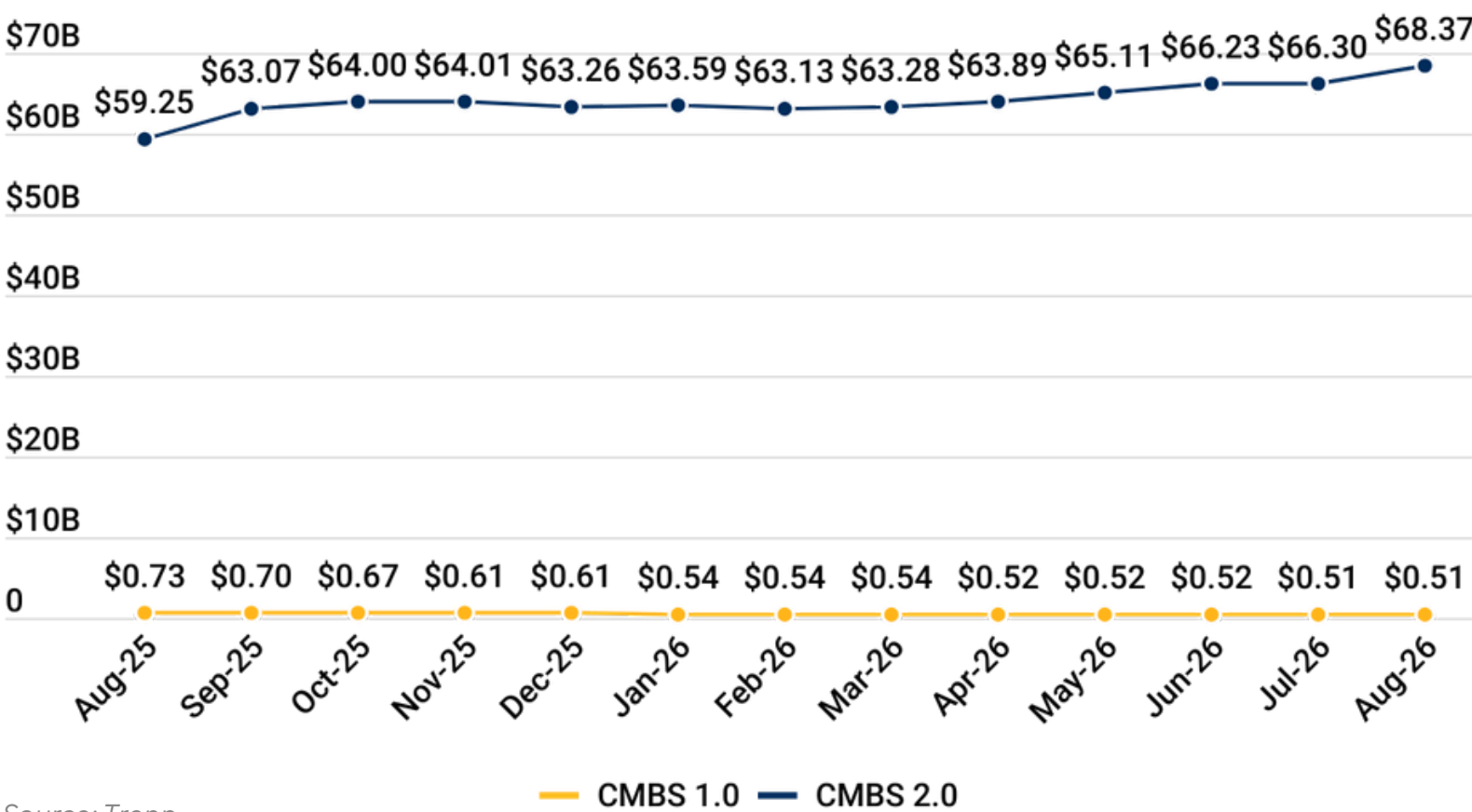


CHART 1: CMBS SPECIAL SERVICING RATE OVER THE LAST 12 MONTHS



Source: Trepp

CHART 2: BALANCE OF LOANS IN SPECIAL SERVICING OVER THE LAST 12 MONTHS



Source: Trepp

TABLE 2: SPECIAL SERVICING RATE BY PROPERTY TYPE CMBS 2.0+

PROP TYPE	Aug-26	Jul-26	Jun-26	3 MO.	6 MO.	12 MO.
Overall	11.35%	11.02%	11.13%	10.79%	10.65%	10.18%
Industrial	1.27%	1.34%	1.37%	1.28%	0.85%	0.61%
Lodging	8.74%	8.63%	8.89%	8.45%	10.01%	9.03%
Multifamily	8.37%	8.40%	8.23%	8.51%	8.30%	8.61%
Office	16.84%	16.51%	17.04%	16.68%	16.22%	16.78%
Mixed-Use	13.47%	11.93%	11.90%	11.62%	12.49%	10.64%
Retail	13.33%	13.01%	12.68%	12.74%	12.81%	11.16%

Source: Trepp

TABLE 3: SPECIAL SERVICING RATE BY PROPERTY TYPE CMBS 1.0

PROP TYPE	Aug-26	Jul-26	Jun-26	3 MO.	6 MO.	12 MO.
Overall	61.96%	61.64%	62.10%	61.59%	60.85%	67.30%
Industrial	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Lodging	0.00%	0.00%	0.00%	0.00%	0.00%	94.15%
Multifamily	0.00%	0.00%	0.00%	0.00%	2.03%	2.62%
Office	39.27%	39.12%	41.17%	41.03%	40.60%	49.14%
Retail	93.69%	93.56%	93.38%	92.49%	92.29%	91.64%

Source: Trepp

The CMBS 2.0+ Numbers

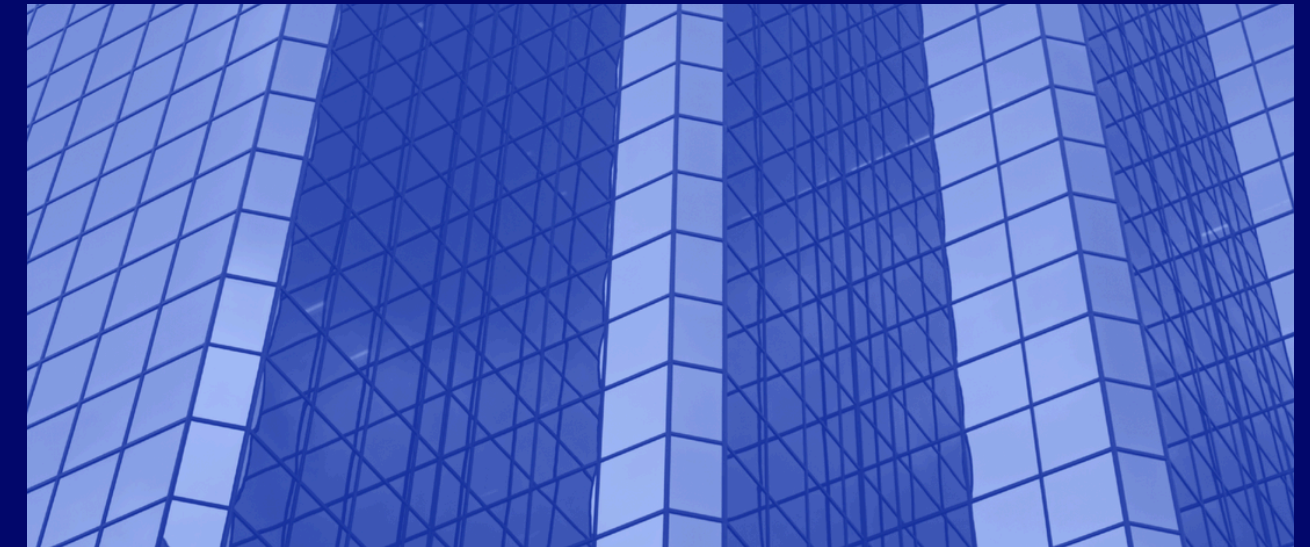
- The overall US CMBS 2.0+ special servicing rate is 11.35%.
- One year ago, the US CMBS 2.0+ special servicing rate was 10.18%.
- Six months ago, the US CMBS 2.0+ special servicing rate was 10.65%.

The CMBS 1.0 Numbers

- The overall US CMBS 1.0 special servicing rate is 61.96%.
- One year ago, the US CMBS 1.0 special servicing rate was 67.30%.
- Six months ago, the US CMBS 1.0 special servicing rate was 60.85%.

WHAT IS THE DIFFERENCE BETWEEN CMBS 1.0 AND CMBS 2.0+?

CMBS 1.0 refers to CMBS issued prior to the 2008 financial crisis, characterized by higher loan-to-value ratios and lower DSCRs. CMBS 2.0+ refers to the second generation of CMBS issued after the financial crisis, incorporating reforms to restore investor confidence. These include enhanced underwriting standards, increased disclosure requirements, improved loan servicing practices, and stronger risk retention rules in compliance with Dodd-Frank regulations.



About Trepp

Trepp, founded in 1979, is the leading provider of data, insights, and technology solutions to the structured finance, commercial real estate, and banking markets. Trepp provides primary and secondary market participants with the solutions and analytics they need to increase operational efficiencies, information transparency, and investment performance. From its offices in New York, Dallas, and London, Trepp serves its clients with products and services to support trading, research, risk management, surveillance, and portfolio management. Trepp subsidiary, Commercial Real Estate Direct, is a daily news source covering the commercial real estate capital markets. Trepp is wholly owned by DMGT. *{The information provided is based on information generally available to the public from sources believed to be reliable.}*

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